Reinsurance Treaty - EX2025001 - 4

Treaty Number:	EX2025001
Cedent:	Example Cedent Inc.
Reinsurer:	Example Reinsurer Corp.
Effective Date:	01 January 2025
Expiry Date:	31 December 2025
Treaty Type:	Proportional

QUOTA SHARE REINSURANCE TREATY

TREATY NUMBER: EX2025001_4

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PARTIES TO THE CONTRACT

THE CEDING COMPANY:

Example Cedent Inc.

(hereinafter referred to as "the Company" or "the Reinsured")

THE REINSURER:

Example Reinsurer Corp.

(hereinafter referred to as "the Reinsurer")

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PREAMBLE

WHEREAS the Company is engaged in the business of underwriting insurance risks; and

WHEREAS the Reinsurer is willing to accept reinsurance of a portion of such risks upon the terms and conditions hereinafter set forth;

NOW THEREFORE, in consideration of the mutual covenants and agreements contained herein, the parties agree as follows:

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ARTICLE 1: GENERAL PROVISIONS

1.1 Contract Period

This Treaty shall be effective from **01 January 2025** at 00:01 hours and shall continue until **31 December 2025** at 24:00 hours, both dates and times being local standard time at the address of the Company.

1.2 Territory

This Treaty applies to business underwritten worldwide, excluding risks domiciled in countries subject to international sanctions as defined by the United Nations, European Union, or United States Treasury Department.

1.3 Classes of Business Covered

This Treaty covers the following classes of business:

• Property Insurance (Fire and Allied Perils)

• Commercial Property

• Industrial All Risks

• Business Interruption

• Machinery Breakdown

• General Third Party Liability

• Product Liability

• Professional Indemnity

1.4 Exclusions

The following classes are specifically excluded:

• Marine and Aviation risks

• Nuclear energy risks

• Terrorism risks (unless specifically included by endorsement)

• War and civil war risks

• Cyber and Technology Errors & Omissions

• Asbestos-related claims

• Pollution liability (gradual)

• Any risks written under separate reinsurance arrangements

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ARTICLE 2: SCOPE OF REINSURANCE

2.1 Quota Share Participation

The Reinsurer agrees to accept **60%** (sixty percent) of the net liability retained by the Company on each and every risk within the classes of business specified in Article 1.3, subject to the terms and conditions of this Treaty.

The Company shall retain for its own account **40%** (forty percent) of the net liability on each and every such risk.

2.2 Definition of Net Liability

For the purposes of this Treaty, "net liability" means the liability of the Company after deduction of:

• Any reinsurance ceded under facultative reinsurance arrangements

• Any reinsurance ceded under other treaty arrangements having priority over this Treaty

• Any amounts recoverable from other sources

2.3 Basis of Attachment

This Treaty shall attach to all policies and contracts of insurance issued or renewed by the Company during the period of this Treaty, in respect of the classes of business covered herein.

2.4 Automatic Cession

The cession of reinsurance hereunder shall be automatic and obligatory upon both parties, subject to the terms, conditions, and limitations of this Treaty.

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ARTICLE 3: CAPACITY AND LIMITATIONS

3.1 Maximum Any One Risk (MAOR)

The maximum liability of the Reinsurer under this Treaty in respect of any one risk shall not exceed:

EUR 5,000,000 (Five Million Euros) representing the Reinsurer's 60% quota share participation.

This corresponds to a maximum Company net retention of **EUR 8,333,333** (Eight Million Three Hundred Thirty-Three Thousand Three Hundred Thirty-Three Euros) per risk.

3.2 Maximum Any One Event (MAOE)

The maximum liability of the Reinsurer under this Treaty in respect of any one event or occurrence shall not exceed:

EUR 25,000,000 (Twenty-Five Million Euros)

3.3 Definition of One Risk

For the purposes of this Treaty:

• **Property Risks:** One risk shall be defined as all property insured under one policy at one location or within a 5-kilometer radius

• **Liability Risks:** One risk shall be defined as any one claimant or series of claimants arising from one event or occurrence

3.4 Aggregation of Risks

Where multiple policies may be affected by a single event or catastrophe, all losses arising from such event shall be aggregated and treated as one loss occurrence, subject to the Maximum Any One Event limitation.

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ARTICLE 4: PREMIUM PROVISIONS

4.1 Premium Basis

The premium payable to the Reinsurer shall be **60%** (sixty percent) of the gross written premium (before deduction of any taxes, levies, or duties) received by the Company on all business ceded hereunder.

4.2 Premium Calculation

Premiums shall be calculated on a risk attaching basis for all policies incepting during the period of this Treaty, including:

• Original premiums

• Additional premiums

• Return premiums (credited)

• Premium adjustments

• Minimum and deposit premiums

4.3 Minimum and Deposit Premium

A minimum and deposit premium of **EUR 3,000,000** (Three Million Euros) shall be payable in respect of this Treaty, calculated as follows:

• 25% on 01 February 2025

• 25% on 01 May 2025

• 25% on 01 August 2025

• 25% on 01 November 2025

4.4 Premium Adjustment

Premium shall be adjusted quarterly based on actual business ceded, with final adjustment made within 90 days following expiry of the Treaty period. Any balance due to or from the Reinsurer shall be settled within

30 days of agreement of the final premium statement.

4.5 Premium Warranty

The Company warrants that the average rate of premium charged for business ceded hereunder shall not be less than **0.75%** (zero point seven five percent) of the sum insured for property business and **EUR 150** (One Hundred Fifty Euros) per policy for liability business.

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ARTICLE 5: COMMISSION PROVISIONS

5.1 Ceding Commission

The Reinsurer shall allow the Company a ceding commission calculated on a sliding scale basis as follows:

Loss Ratio	Commission Rate
0% - 50%	35.0%
50.01% - 55%	33.0%
55.01% - 60%	31.0%
60.01% - 65%	29.0%
65.01% - 70%	27.0%
Over 70%	25.0%

The provisional commission shall be **30%** (thirty percent) pending determination of the final commission rate.

5.2 Loss Ratio Definition

For the purposes of calculating the sliding scale commission, the loss ratio shall be defined as:

Loss Ratio = (Incurred Losses + Loss Adjustment Expenses) / Net Earned Premium × 100

Where:

• Incurred Losses = Paid Losses + Outstanding Loss Reserves + IBNR

• Net Earned Premium = Gross Written Premium less Returns and Cancellations, earned during the period

5.3 Commission Adjustment

The final commission shall be determined within 90 days following expiry of the Treaty period and adjusted at each subsequent accounting period until all liabilities under the Treaty are extinguished.

5.4 Overriding Commission

An overriding commission of **2.5%** (two point five percent) of gross written premium shall be payable to the Company in consideration of portfolio management and administration services.

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ARTICLE 6: PROFIT COMMISSION

6.1 Profit Commission Rate

Subject to the conditions set forth below, the Reinsurer shall pay to the Company a profit commission of **20%** (twenty percent) of the underwriting profit arising from this Treaty.

6.2 Calculation of Profit Commission

The profit commission shall be calculated as follows:

Profit Commission = 20% × [(Net Earned Premium × 100%) - (Incurred Losses + Loss Expenses + Commission) - (Contingency Reserve)]

Where:

• Net Earned Premium = Reinsurer's share of earned premium

• Incurred Losses = Paid losses plus outstanding reserves plus IBNR

• Loss Expenses = Loss adjustment expenses at 5% of incurred losses

• Commission = Ceding commission and overriding commission

• Contingency Reserve = 20% of net earned premium (cumulative, released after 36 months)

6.3 Profit Carry Forward

Any underwriting loss in any accounting period shall be carried forward and offset against profits in subsequent accounting periods before any profit commission becomes payable.

6.4 Payment of Profit Commission

Profit commission, if any, shall be calculated and paid annually within 120 days following the expiry of each Treaty year, subject to adjustment at subsequent accounting periods.

6.5 Final Accounting

Final profit commission shall be determined when all liabilities under this Treaty have been extinguished or 72 months after expiry of the Treaty period, whichever is earlier.

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ARTICLE 7: CLAIMS PROVISIONS

7.1 Loss Settlement

The Reinsurer shall indemnify the Company for **60%** (sixty percent) of all losses paid by the Company in respect of business reinsured hereunder, subject to the terms and conditions of this Treaty.

7.2 Claims Cooperation Clause

The Company shall handle and settle all claims in accordance with its normal business practices and in a professional and commercially reasonable manner. The Reinsurer shall be bound by all settlements made by the Company, provided such settlements are made in good faith and within the terms of the original policy.

7.3 Ex-Gratia and Extra-Contractual Payments

Ex-gratia payments and extra-contractual obligations shall be covered under this Treaty only with the prior written consent of the Reinsurer, such consent not to be unreasonably withheld.

7.4 Large Loss Notification

The Company shall notify the Reinsurer within **48 hours** of becoming aware of any loss or event which may give rise to a loss under this Treaty where the Company's estimated ultimate net loss exceeds:

• **EUR 1,000,000** (One Million Euros) for property losses

• **EUR 500,000** (Five Hundred Thousand Euros) for liability losses

7.5 Catastrophe Loss Notification

In the event of a catastrophe which may affect multiple risks reinsured hereunder, the Company shall provide preliminary advice to the Reinsurer within **72 hours** of the event, followed by regular updates.

7.6 Loss Adjustment Expenses

Loss adjustment expenses shall be defined as all expenses incurred in the investigation, defense, and settlement of claims, including but not limited to:

• Legal fees and expenses

• Expert fees

• Investigation costs

• Claims handling expenses

Loss adjustment expenses shall be shared in the same proportion as losses (60%/40%) and shall be included within the Maximum Any One Risk and Maximum Any One Event limitations.

7.7 Salvage and Recoveries

All salvage and recoveries shall be applied as follows:

1. First, to reimburse loss adjustment expenses

2. Second, to reimburse paid losses

3. Any excess to be shared in the proportion of 60%/40% between the Reinsurer and the Company

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ARTICLE 8: ACCOUNTING AND REPORTING

8.1 Quarterly Accounts

The Company shall render to the Reinsurer quarterly accounts within **45 days** following the end of each calendar quarter, showing:

• Gross written premium

• Returns and cancellations

• Net written premium

• Net earned premium

• Paid losses and outstanding loss reserves

• Loss adjustment expenses

• Ceding commission due

• Net balance due to or from the Reinsurer

8.2 Annual Statements

Within **90 days** following the expiry of this Treaty, the Company shall provide a comprehensive annual statement including:

• Full premium development

• Loss development by accident year

• Outstanding loss reserves by claim

• IBNR provisions with actuarial certification

• Calculation of final commission and profit commission

8.3 Currency and Settlement

All accounts shall be rendered in **EUR** (Euros). Premiums and losses in other currencies shall be converted at the exchange rate prevailing on the date of transaction as published by the European Central Bank.

Settlement of balances due shall be made within **30 days** of receipt of account statements. Interest shall accrue on overdue balances at the rate of **EURIBOR + 2%** per annum.

8.4 Payment Method

All payments shall be made by electronic funds transfer to the bank accounts designated by each party in writing.

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ARTICLE 9: SPECIAL PROVISIONS

9.1 Portfolio Withdrawal

In the event of termination or non-renewal of this Treaty, the Reinsurer shall remain liable for all losses under policies attaching during the Treaty period until such policies expire or are cancelled.

The Company may, at its option, offer a portfolio withdrawal to the Reinsurer within 90 days of expiry. The withdrawal consideration shall be calculated as:

Portfolio Withdrawal = (Unearned Premium Reserve × 85%) - (Outstanding Loss Reserves × 100%)

9.2 Follow the Settlements

The Reinsurer agrees to follow the settlements of the Company, provided that:

• Settlements are made in good faith

• Settlements are within the terms and conditions of the original policy

• The Company has complied with all terms and conditions of this Treaty

9.3 Follow the Fortunes

This Treaty is subject to the "follow the fortunes" doctrine, whereby the Reinsurer agrees to follow the fortunes of the Company with respect to the business reinsured hereunder, subject only to the express terms, conditions, and exclusions of this Treaty.

9.4 Errors and Omissions

Inadvertent delays, errors, or omissions in reporting or remitting amounts due under this Treaty shall not relieve either party from any liability which would have attached had such delay, error, or omission not occurred, provided that:

• Such error or omission is rectified within 30 days of discovery

• The error or omission was made in good faith

• Neither party is materially prejudiced

The maximum period for rectification of errors and omissions shall be **24 months** from the date of the original transaction.

9.5 Offset

Either party may offset any balance due from the other party under this Treaty or any other agreement between the parties. Notice of intention to offset shall be provided in writing at least 15 days prior to the offset being applied.

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ARTICLE 10: INSPECTION AND AUDIT RIGHTS

10.1 Access to Records

The Reinsurer or its authorized representatives shall have the right, at reasonable times and upon reasonable notice, to inspect and audit all records of the Company pertaining to business reinsured under this Treaty, including:

• Policy files and documentation

• Claims files and reserves

• Premium and statistical records

• Underwriting guidelines and procedures

• Accounting records

10.2 Audit Procedures

Audits shall be conducted during normal business hours with at least **30 days** prior written notice. The Company shall provide reasonable facilities and assistance to facilitate the audit.

10.3 Confidentiality

All information obtained during inspections and audits shall be treated as confidential and used solely for the purposes of administering this Treaty.

10.4 Frequency of Audits

The Reinsurer may conduct audits no more frequently than once per calendar year, except in cases where material discrepancies have been identified.

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ARTICLE 11: INSOLVENCY CLAUSE

11.1 Reinsurer's Liability

In the event of the insolvency of the Company, this reinsurance shall be payable directly to the Company or to its liquidator, receiver, conservator, or statutory successor on the basis of the liability of the Company under the policies reinsured, without diminution because of the insolvency of the Company.

11.2 Payment Priority

The liquidator, receiver, conservator, or statutory successor of the Company shall give written notice to the Reinsurer of the pendency of a claim against the Company indicating the policy or policies reinsured which may be involved. During the pendency of such claim, the Reinsurer may investigate and interpose, at its own expense, in the proceeding where the claim is to be adjudicated.

11.3 Cooperation in Insolvency

Any payment made by the Reinsurer pursuant to this clause shall be in accordance with the terms and conditions of this Treaty and shall be made without diminution because of the insolvency of the Company.

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ARTICLE 12: ARBITRATION

12.1 Arbitration Agreement

Any dispute, controversy, or claim arising out of or relating to this Treaty, or the breach, termination, or invalidity thereof, shall be finally settled by arbitration in accordance with the Rules of Arbitration of the International Chamber of Commerce (ICC).

12.2 Arbitration Panel

The arbitration tribunal shall consist of **three arbitrators**:

Document generated on 12 December 2025 - Confidential